PAPERBOY

MONDAY, NOVEMBER 9, 2026

Nvidia's board has opened an independent investigation into its own founder, and Asian chip stocks rallied anyway.

AI

Nvidia's board puts its founder under investigation

WHAT HAPPENED

On Sunday Nvidia's board published an unsigned statement saying it is "initiating an independent investigation in light of recent reporting that founder and CEO Jensen Huang has been the target of a foreign intelligence effort." A committee of independent directors with outside counsel will oversee it. The board says that "while the Board has no reason to believe that either national security or NVIDIA secrets were compromised, the Board's inquiry will examine all available information," and that it "has confidence in Jensen and his leadership team." Nvidia then published the email Huang sent staff the same day: "I owe my family and all of you an apology. I was unfaithful to my wife. My actions hurt her and our children. There is no excuse for what I did." He writes that he supports the investigation and will cooperate fully. The email names no one else.

WHAT IT MEANS

Separate the two things. Nvidia's own words describe a counter-intelligence problem - the board's premise is that its chief executive was targeted - not an affair. The widely repeated identification of the other party as a Megaspeed executive comes from Bloomberg and others second-hand, not from Huang or the board, and we have not reached that reporting. That a company this size published its founder's confession on its own wire rather than letting it leak is the tell: the board judged disclosure cheaper than the alternative. The useful consequence is that the central facts now have a primary source.

WATCH NEXT

Nvidia reports Q3 FY2027 on Tuesday 17 November at 2 p.m. PT, its first call since the statement.

What the statement carefully does not say

WHAT HAPPENED

The board promises "further updates as appropriate" and nothing more. It sets out no scope, no deadline and no succession position, and it does not withdraw Nvidia's earlier line that the pair's interactions were "not unusual" or that the allegations were "debunked last year." China's foreign ministry denies the spying allegations, calling them a smear campaign. Nobody has been charged. Yale's Jeffrey Sonnenfeld told TechCrunch he puts Huang's odds of staying at "about a 50-50" and said "any employee in Nvidia other than him would be fired over this" - one academic's estimate in one outlet, and flagged as such.

WHAT IT MEANS

The governance problem is not the affair. It is that the board has told shareholders an inquiry is warranted while declaring confidence in the person under inquiry, with no date by which those positions must reconcile. Huang is unusually load-bearing: Nvidia holds stakes in OpenAI, Anthropic, xAI, CoreWeave and Nebius, and in August signed preliminary agreements with six financial firms to mobilise more than $500bn, a quarter of which Huang said Nvidia could backstop. Those are relationships built on one man - the exact concentration a counter-intelligence review is awkward about.

WATCH NEXT

TechCrunch reports three House committee chairmen want a closed-door briefing from Huang on 18 November; the request we noted on Saturday, the date is new and single-sourced.

SEMICONDUCTORS

Taipei posts its second-biggest points gain ever, on a bailout authorised the day before

WHAT HAPPENED

The Taiex closed Monday at 41,661.70, up 1,960.06 points or 4.94% on turnover of NT$837.93bn - the second-largest daily points gain on record, per Focus Taiwan. That is off Friday's close of 39,701.64, itself down 4.51%, capping a week that took 12.19% off the index. Our arithmetic reproduces both percentages exactly; the 5.27%, 5.6% and 5.7% prints circulating are intraday, not the close. The trigger was not Monday news. Taiwan's National Financial Stabilization Fund committee authorised intervention on Friday, clearing its executive secretary "to use funds as needed to smooth volatility in the market" - the tenth activation of the NT$500bn (US$15.26bn) fund since 2000. The Financial Supervisory Commission separately urged buybacks, cut the stock available for short-selling loans and raised stock-borrowing deposits.

WHAT IT MEANS

A fund activated ten times in twenty-six years is not an emergency instrument, it is a feature of this market - and the announcement alone did the work, with no confirmation anything was spent. Mind the sequence: the authorisation came Friday, before the rally, so Monday is a response to the backstop, not to any change in AI demand. Taiwan is where the AI trade gets marked, and the official reflex is now to mark it up.

WATCH NEXT

TSMC's October revenue is due around 10 November; September was NT$511,857m and the first nine months NT$3,898,727m, up 41.1% year on year, unaudited.

Taiwan's state forecaster raises 2026 growth to 12.34% and says the Huang affair changes nothing

WHAT HAPPENED

The Taiwan Institute of Economic Research lifted its 2026 GDP forecast to 12.34%, from 10.38% in July, with exports of goods and services up 23.75% and private investment up 13.17%. For 2027 it projects 6.45% growth and semiconductor output up 21.5% in value to a record NT$11.8tn. Asked about the Nvidia investigation, TIER president Chang Chien-yi said "I don't think this will stop AI development," noting exporters already hold orders through the first half of 2027. He flagged two risks: whether AI demand holds, and when the Middle East war ends. One institute, one outlet.

WHAT IT MEANS

A double-digit annual growth rate in a developed economy is the clearest single measure of how concentrated the AI build-out has become. The order book through mid-2027 is the load-bearing claim: it means the next two quarters are largely insulated from sentiment, and the first real test of capex discipline lands in the second half of next year. A forecast, not a count.

WATCH NEXT

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BUSINESS

Asia bounces, unevenly, and Europe opens up

WHAT HAPPENED

The Nikkei 225 closed at 58,775.50, up 2.3% after falling roughly 6% last week, with TSMC up 4.7%, Tokyo Electron 2.8% and Advantest 1.3% on AP's figures. Seoul went the other way: the Kospi closed at 5,018.85, down 0.81%, as foreign and retail investors sold a net 1.18trn won against 717.1bn won of institutional buying. Hong Kong's Hang Seng closed 32 points lower at 24,448. Early European trade had the DAX up 0.6%, the CAC 40 and FTSE 100 up 0.4%; S&P 500 futures were up 0.3%. Brent was $96.38 and WTI $89.56, both intraday, both off about 2%. We could not establish a Shanghai close and print none.

WHAT IT MEANS

The split is the information. Tokyo and Taipei, which sell the equipment and the wafers, rallied hard; Seoul, which sells the memory, did not, and SoftBank fell 4.2%. That is not a market deciding the AI trade is fine - it is a market deciding the parts with visible order books are fine, which is the narrower claim TIER made this morning. Oil below $100 keeps taking pressure off the inflation side.

WATCH NEXT

The US open, with the Fed holding at 3.75-4% since 28 October and the next FOMC on 8-9 December.

China's two inflation gauges split

WHAT HAPPENED

October consumer prices rose 0.7% from a year earlier, below the 0.8% expected and down from 0.9%, and were flat on the month after rising 0.2%. Producer prices went the other way: up 5.7% year on year against 5.3% expected and 5.0% prior, and up 0.7% on the month. That is the fastest annual rise in factory-gate prices since June 2022. These are secondary figures - the National Bureau of Statistics' English release page had not posted them when we checked, so we take them from Trading Economics and label them accordingly.

WHAT IT MEANS

Producer prices climbing while consumer prices stall is the signature of a cost shock that cannot be passed on, and the cost is energy, with the Iran war still in the barrel price. For Chinese manufacturers it squeezes margins; for everyone importing from China it is the first real sign the long run of exported deflation is ending.

WATCH NEXT

The NBS release itself, and whether the PPI print survives contact with the primary unrevised.

What China actually blocked in the SoftBank-ABB deal

WHAT HAPPENED

A wire item circulating Monday says Chinese regulators "rejected" SoftBank's $5.4bn robotics acquisition from ABB. SoftBank's own disclosure is narrower, and sharpens what we noted on Friday. In a release dated 6 November it says that on 4 November it received notice from China's Office of the Working Mechanism for Foreign Investment Security Review prohibiting the acquisition of ABB's robotics business in China. The deal - US$5.375bn, announced on 8 October 2025 - remains pending and subject to regulatory approvals, and SoftBank says both parties are "working constructively on the transaction." The reviewer is a national-security screen, not the antitrust regulator SAMR.

WHAT IT MEANS

Three distinctions are being collapsed: what was blocked is the China portion, not the deal; the blocker is a security reviewer, not a competition authority; and the deal is pending, not dead. The substance survives all three - Beijing now treats industrial robotics as a security asset, which widens what foreign-investment screening covers.

WATCH NEXT

Whether ABB and SoftBank carve out the Chinese business or re-cut the price.

STARTUPS

A genuinely quiet weekend. The only funding we could date to it came out of the Gulf; sweeps of US, European, Indian, Latin American and African rounds returned nothing in the window.

The Gulf was the only market writing cheques

WHAT HAPPENED

Arab News' weekly wrap, dated 7 November, carries three raises. Journify, an advertising-data platform based in San Francisco with offices in Dubai and Riyadh, raised a $12m Series A led by Al Mada Ventures and co-led by Silicon Badia, with Shorooq and Bunat Ventures increasing their stakes and Du Ventures and Oraseya Capital joining. Mamun, in Oman, raised a $3m seed led by Phaze Ventures through its Oman Fund, with the UAE's Jasoor Ventures participating. Percent Labs, in Syria, raised an undisclosed seed from Syrian angel investors based outside the country. All amounts are announced rather than closed, and the wrap's dateline means some of these were announced earlier in the week, not over the weekend.

WHAT IT MEANS

The Syrian round is the one to notice, even at an undisclosed size: capital from the diaspora is usually the first money back into a reopening market, and it arrives before any institutional investor will touch it. The rest is the now-familiar Gulf pattern - sovereign-adjacent funds anchoring small rounds for companies that keep a US headquarters and a Riyadh office, which is how market access is being priced.

WATCH NEXT

Whether any of the three discloses a close rather than an announcement.

Aramco takes 49% of Humain

WHAT HAPPENED

The same wrap reports that Saudi Aramco, through a wholly owned subsidiary, has taken a 49% stake in Humain, the kingdom's AI venture, with the Public Investment Fund retaining 51%; cash of about SR9.9bn (US$2.64bn) was paid during 2026. Humain has also acquired Riyadh-based CNTXT on undisclosed terms. We should be plain about the limits here: this is a strategic stake rather than a funding round, it is reported by one outlet, and nothing in what we read dates the transaction to this weekend. We print it because the size and the counterparty matter, not because it is new today.

WHAT IT MEANS

Aramco putting $2.64bn into a state AI champion is an oil company buying the thing that will consume its output, and doing it with the sovereign fund still holding control. The structure - 51/49, not a buyout - keeps the asset on the state's books while giving it an operator with power-plant and land expertise. That is the Gulf's actual AI strategy showing through: not chips, which it cannot get, but everything upstream of them.

WATCH NEXT

Any Aramco disclosure confirming the consideration and the accounting treatment.

US

Jeffries moves to a hard yes on impeaching Hegseth

WHAT HAPPENED

Speaking on ABC's This Week on Sunday, incoming Speaker-presumptive Hakeem Jeffries said "I'm a hard yes on the Hegseth resolution," repeated that the defence secretary "has got to go," and said he expects strong support for it. That is a shift: on Thursday he told NPR, asked directly about impeachment, "I don't want to get out ahead of the caucus." The resolution is Thomas Massie's - a 34-page document the Kentucky Republican introduced on 16 September over the Iran war, which the House delayed by adjourning early and which Speaker Johnson said would be immediately tabled. No vote has been held. Al Jazeera, which we have for Jeffries' Sunday words and have not corroborated elsewhere, says one is anticipated in the coming days.

WHAT IT MEANS

Jeffries does not control the floor until 3 January, so any vote before then happens on Johnson's terms, and tabling it stays the likeliest outcome. What changed is the whip count: a Republican's impeachment resolution with the incoming Democratic leader as a declared yes stops being a protest and becomes a vote individual Republicans must cast on the record, three weeks after an election they lost on this war. Hence Sunday television rather than a caucus meeting.

WATCH NEXT

Whether Massie forces the privileged vote this week, and whether the motion to table holds.

Rubio defends the Iran war in the language of cost

WHAT HAPPENED

Speaking to reporters at Homestead Air Reserve Base in Florida on Sunday, before flying to Paris for a G7 foreign ministers' meeting, Secretary of State Marco Rubio said that confronting hard security challenges means "doing it isn't necessarily popular, but necessary." Several headlines render that as "unpopular"; it is not his word. On talks he said "right now, it hasn't been very productive because the Iranian demands are simply not just unacceptable," called some of them "outrageous and ridiculous and really not realistic," and said "I wouldn't say we're at the verge of a breakthrough." He added that "if there's a clear and present threat to shipping or to our forces in the region, we have a right to defend ourselves." The IAEA puts Iran's stock of 60%-enriched uranium at 440.9 kg. Qatar is mediating.

WHAT IT MEANS

Rubio is arguing the war was right and electorally expensive at once - a different line from the Vice President's. Vance posted that the war largely caused last week's Republican losses; Trump said Vance was right in general but should also have defended the decision. With 2028 positioning already visible, the split is not over whether to keep fighting but over whose problem the politics is. "Not at the verge of a breakthrough" is the operative phrase for the oil price.

WATCH NEXT

The G7 foreign ministers' meeting in Paris, and whether the Qatari channel produces anything before the 11 December funding fight.

WORLD POLITICS

Eisenkot has 28 days

WHAT HAPPENED

President Herzog formally handed Gadi Eisenkot the mandate to form a government at the President's Residence in Jerusalem on Sunday. Herzog told him: "I expect you to do everything in your power to establish a government that will serve the entire people." Eisenkot replied: "With the mandate entrusted to me here today, I will lead the establishment of a national emergency government. This will require creative and unconventional political acts." He has 28 days, extendable by up to 14 at the president's discretion - the Times of Israel's own arithmetic puts those at about 6 and about 20 December. If he fails, Herzog has three days to name another MK, who gets 28 days with no extension. United Torah Judaism's seven seats made no recommendation; Shas called reports it might join "total fake news," while a Shas source said it would not oppose such a government if the party's rabbis approved.

WHAT IT MEANS

Eisenkot was recommended by 67 MKs, but 19 of those are Arab-led seats, and Netanyahu spent Saturday - in a recorded video saying "this is the will of the people, and this is what the hour demands" - arguing a government resting on them is illegitimate. So the number that matters is not 67. It is whether Eisenkot reaches 61 from the 48-seat change bloc plus the thirteen Haredi seats, which makes the Shas rabbis the most consequential people in Israeli politics this month.

WATCH NEXT

Whether UTJ's rabbinical leadership rules, and the roughly 6 December expiry of the first 28 days.

South Africa's final numbers land, and 139 councils have no majority

WHAT HAPPENED

The electoral commission announced the final result of the 4 November local elections in Midrand on Sunday. President Ramaphosa told the country: "The election is now over. The work of serving the people must begin," warning that "the stability of our municipalities cannot be sacrificed to narrow political interests" and that the fragmented outcome "is not a weakness of democracy. It is an expression of the choices that the people have made." The Citizen, the only outlet we could read carrying the tables, puts the ANC on 30.76% and 3,246 seats, the DA on 24.64% and 1,695, MK on 9.76%, the EFF on 6.22% and ActionSA on 5.67%, across 10,526 contested seats, with 74 of 213 councils producing an outright majority. Two cautions: 30.76% supersedes the 30.9% we printed last week, which was provisional, and the 10,526 base excludes 994 district seats filled by nomination, so it is not comparable with larger totals in circulation.

WHAT IT MEANS

The 139 hung councils are the story, and that figure is our arithmetic from the Citizen's numbers, not a published one. South African local government is where service delivery actually happens, so a hung council means water, refuse and electricity decisions are hostage to coalition arithmetic for five years. Ramaphosa's warning is a pre-emptive defence of a party that must now govern most of the country alongside people it spent the campaign attacking. Note what nobody has published: a deadline for forming these coalitions.

WATCH NEXT

The first council constitutions, and whether the commission issues a formal certification distinct from Sunday's announcement.

Mexico captures the alleged head of a CJNG cell, with DEA intelligence

WHAT HAPPENED

Mexican naval special forces captured a man the navy identifies as Rafael "N", alias "R2", in Zapopan in the Guadalajara metropolitan area on Sunday. Nineteen others were detained; the navy says its personnel came under fire and returned it, wounding the suspect. Security Minister Omar Garcia Harfuch said the cell is "mainly linked to extortion, drug trafficking, homicide," that its victims included "business owners and avocado producers," and that the man faces a Mexican warrant for aggravated homicide and a US extradition request. The navy credits DEA intelligence and links him to the killing of former Uruapan mayor Carlos Manzo - its own account of its own operation. The wires call him head of the "Los Rs" cell, not a national CJNG figure, and one Spanish-language outlet calls this a re-capture, so it is not a first arrest.

WHAT IT MEANS

The detail that matters is where the intelligence came from. A Mexican government that spent years resisting American operational involvement is now crediting the DEA in its own statement - a deliberate signal to Washington with tariffs and cartel designations both live.

WATCH NEXT

Whether the extradition request is acted on, and whether Mexico publishes a full name on charging.

SOURCES

NVIDIA - Statement from the Board of Directors, 8 Nov

NVIDIA - A Message to Our Company (Jensen Huang to employees), 8 Nov

NVIDIA - conference call set for Q3 FY2027 results, 17 Nov

TechCrunch - Nvidia says it is investigating Huang's relationship

TechCrunch - Sonnenfeld puts Huang's odds at about 50-50

Focus Taiwan - Taiwan shares close up 4.94%

Focus Taiwan - National Financial Stabilization Fund authorises intervention

Focus Taiwan - TIER raises 2026 GDP forecast

Focus Taiwan - Nvidia controversy unlikely to derail AI demand (TIER)

Taipei Times - TSMC drafting 3D DRAM plans at Nvidia's request

Taipei Times - Taiex sheds 12.19% on the week

AP - Asian markets bounce back after a recovery for AI stocks

Korea JoongAng Daily - Kospi closes lower

The Standard (Hong Kong) - Hang Seng closes down 32 points

Trading Economics - China producer prices (secondary)

SoftBank Group - notice on ABB robotics acquisition in China, 6 Nov

Arab News - startup wrap, 7 Nov

Al Jazeera - Jeffries backs Hegseth impeachment

NPR via OPB - Jeffries lays out Democrats' plans for Congress, 6 Nov

AP - Rubio says the Iran war is not necessarily popular but needed

Times of Israel - Eisenkot gets nod to form government

Jerusalem Post - Eisenkot tasked with forming a government

Ynet - Netanyahu's recorded statement

SAnews via allAfrica - Ramaphosa on the election results

The Citizen - ANC loses ground as coalition talks loom

Reuters via TimesLIVE - Mexico captures cartel cell leader

AFP/Reuters via Yahoo - Mexico arrests alleged CJNG cell leader